

Adidas US Sales Performance Analysis Report

Channel, Retailer, and Regional Profitability Review — FY2020–FY2021

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1. Problem Statement and Approach

Adidas's US retail business sells across five regions, six major retail partners, three sales channels (in-store, online, and outlet), and six product lines. Before this analysis, there was no single view of which channels, retailers, and regions were actually driving profit rather than just volume. The core question: where is revenue concentrated, where is margin strongest, and where is there a mismatch between the two that points to an opportunity or a risk? The findings below are meant to support channel investment and retailer-management decisions.

The approach followed the CRISP-DM cycle. I started by defining what 'performance' should mean for this business (sales, operating profit, and margin across retailer, region, product, and sales method), then worked through the 11,664-row transaction dataset covering January 2020 to December 2021, which includes Units Sold, Price per Unit, Total Sales, Operating Profit, and Operating Margin. Cleaning involved standardising retailer and regional naming and confirming there were no duplicate or missing records. From there I built pivot tables breaking down sales by Region, Sales Method, Retailer, and Month, and brought everything into a single dashboard with slicers for Retailer, Region, Product, and Sales Method.

2. Key Findings

2.1 Overall Performance

Across the two years, total sales reached \$909,285,809 against an operating profit of \$335,968,809, putting the overall operating margin at roughly 37%. Growth between the two years was dramatic: sales rose from \$184,068,156 in 2020 to \$725,217,653 in 2021, an increase of about 294%, almost certainly reflecting a recovery in retail footfall and reopened stores after 2020's disruption. That growth is the most important context for everything that follows – most of the patterns below are really patterns in 2021's much larger base.

2.2 Performance by Sales Channel

In-store is overwhelmingly the dominant channel, generating \$866,372,750 – about 95.3% of total sales – at a 36.5% operating margin. Online is a small fraction of revenue at \$22,442,632 (2.5%) but runs the highest margin of any channel at almost 49%. Outlet sits in between on margin at 41.1% but contributes only \$20,470,427. The gap between online's revenue share and its margin is the standout finding here: it is by far the most profitable channel per dollar of sales, but it is barely being used.

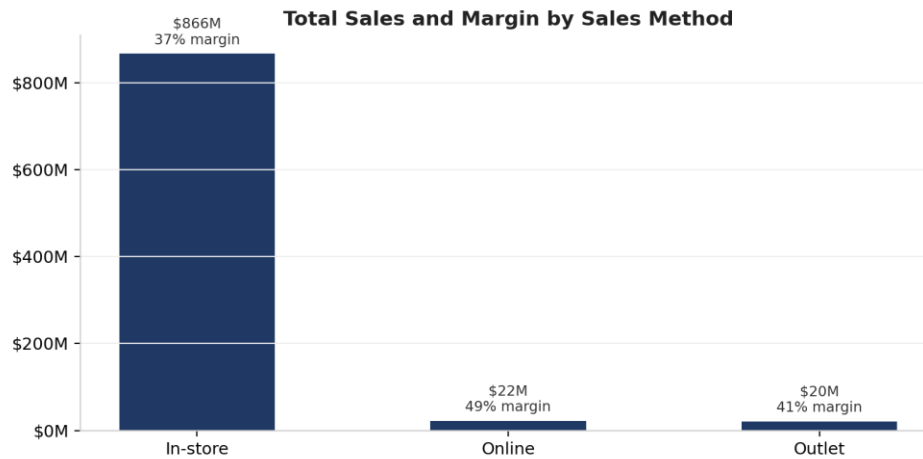


Figure 1. Total sales and operating margin by sales method. In-store dominates volume, but online runs the highest margin by a wide margin.

2.3 Performance by Retailer

West Gear is the top retail partner by revenue at \$245,530,344, narrowly ahead of Foot Locker at \$222,807,180. Sports Direct generates less revenue (\$184,076,717) but the best margin of the major retailers at 40.8%. At the other end, Walmart has the lowest margin among the six retailers at 34.6%, despite contributing a respectable \$74,711,820 in sales. Kohl's and Amazon sit in the middle on both measures.

Retailer	Total Sales (\$)	Operating Profit (\$)	Margin (%)
West Gear	245,530,344	86,676,991	35.3%
Foot Locker	222,807,180	81,834,930	36.7%
Sports Direct	184,076,717	75,031,613	40.8%
Kohl's	103,316,996	37,307,667	36.1%
Amazon	78,842,752	29,290,178	37.2%
Walmart	74,711,820	25,827,429	34.6%

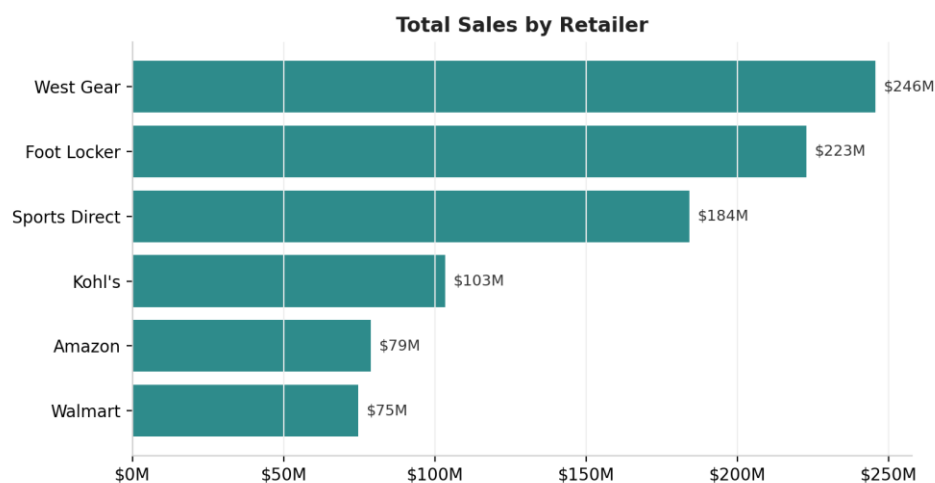


Figure 2. Total sales by retailer. West Gear and Foot Locker lead on revenue; both run mid-pack margins.

2.4 Performance by Region

The West region leads on revenue at \$272,308,221 but has the lowest operating margin of any region at 33.2%. The South region is the opposite story: lower revenue at \$144,663,181, but the strongest margin nationally at 42.3%. Northeast, Southeast, and Midwest fall in between on both measures. The pattern is consistent with the channel and retailer findings – the regions and partners driving the most volume are not always the ones running the leanest cost structure.

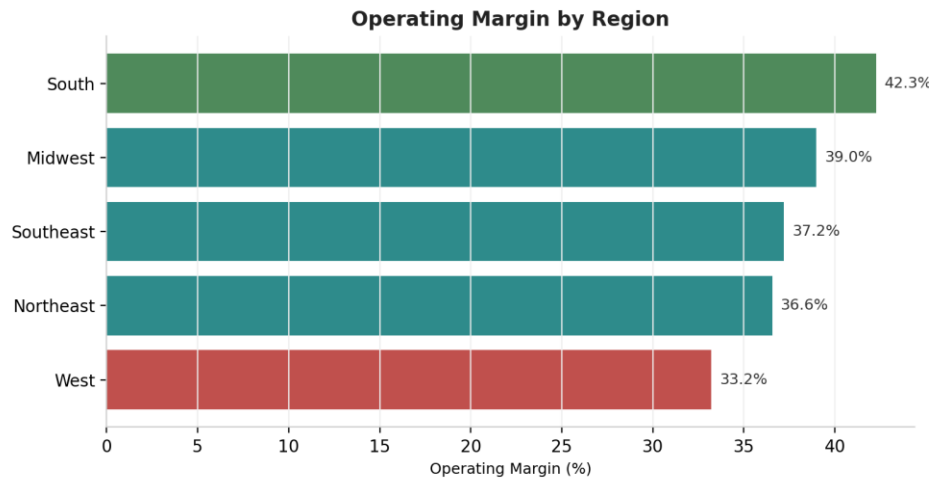


Figure 3. Operating margin by region. The West leads on revenue but trails on margin; the South is the reverse.

2.5 Performance by Product Line

Men's Street Footwear is the top product line by both revenue (\$211,212,543) and margin (39.7%), making it the strongest performer on the dashboard. Women's Apparel follows closely on revenue (\$180,944,518) with a similarly healthy 38.4% margin. Men's Athletic Footwear generates solid revenue (\$155,189,010) but the weakest margin of any product line at 33.8%, suggesting either heavier discounting or a less favourable cost structure on that line specifically.

2.6 Seasonality and Geographic Concentration

Monthly sales in 2021 ran well above the equivalent month in 2020 in every single month, consistent with the year-over-year growth noted above. Within 2021, the strongest months were June through August, peaking at \$79,258,413 in July, while the slowest month was March at \$39,558,841. New York (\$64,793,500), California (\$60,174,133), and Florida (\$60,008,719) are the three largest states by sales, together accounting for about 20.4% of national revenue – a useful reference point for where retail presence and marketing spend are already concentrated.

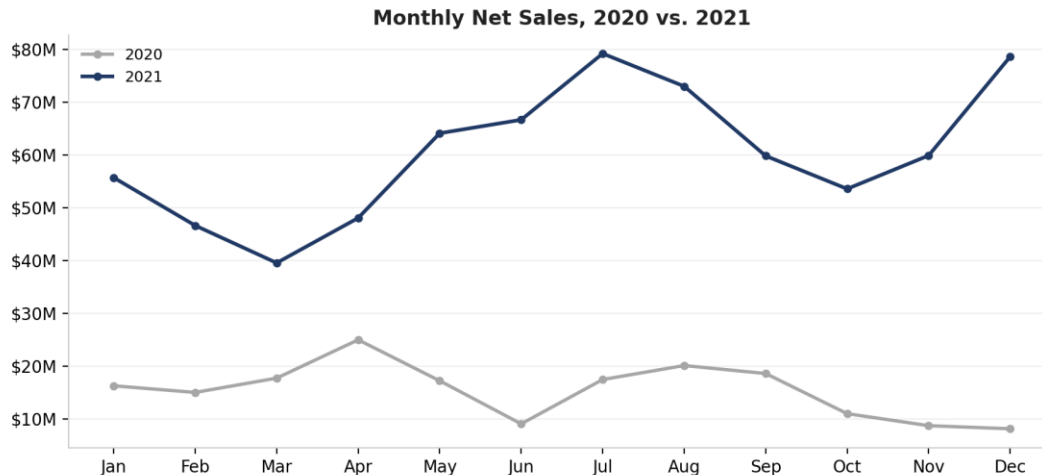


Figure 4. Monthly net sales, 2020 vs. 2021. Every month in 2021 outperformed its 2020 equivalent, with a clear summer peak.

3. Recommendations

The findings above point to a recurring pattern: the channels, retailers, and regions that drive the most volume are not always the ones running the best margin. The actions below are organised by who would need to act on them.

3.1 Channel and pricing actions

1. Invest in growing the online channel. At a near-49% margin but only 2.5% of total sales, online is the most profitable channel per dollar and clearly under-scaled relative to in-store. Owner: E-commerce/Digital team. Target: a defined online growth plan, with a revenue-share target for online within the next planning cycle.
2. Review Men's Athletic Footwear's cost and pricing structure. It carries solid revenue but the lowest margin of any product line at 33.8% – worth checking whether this is driven by discounting, input costs, or retailer terms. Owner: Merchandising and Product Finance.

3.2 Retailer and regional strategy

3. Investigate Walmart's margin gap. At 34.6%, it is the lowest-margin retailer despite meaningful volume; review pricing and terms with this partner specifically. Owner: Retailer/Channel Partnerships.
4. Use the South region's cost structure as a reference point for the West. The West leads on revenue but trails on margin (33.2% vs. the South's 42.3%); understanding what the South is doing differently on cost or pricing could lift West region profitability without sacrificing its volume lead. Owner: Regional Sales and Finance leads.
5. Build on Sports Direct's margin performance. At 40.8%, it already runs the best margin of the major retailers; worth understanding what is different about this relationship and whether elements of it can be replicated with lower-margin partners. Owner: Retailer Partnerships.

3.3 Planning and forecasting

6. Plan around the 2021 growth base, not 2020. With sales up roughly 294% year-over-year, inventory, staffing, and marketing budgets should be built from 2021's monthly pattern (a June–August peak) rather than treated as a simple extension of 2020. Owner: FP&A and Supply Chain.

7. Treat the top three states as a reference, not a ceiling. New York, California, and Florida already account for roughly 20% of national sales; decide deliberately whether to deepen investment in these proven markets or use them as a benchmark for growing other states. Owner: Regional Sales leadership.

4. Conclusion

Overall, the business grew sharply between 2020 and 2021, with total sales of \$909.3 million and operating profit of \$336.0 million across the two years combined. But the data also shows that the channels, retailers, and regions generating the most revenue are not always the most efficient: in-store dominates volume but trails online on margin, the West region leads on sales but lags on profitability, and Walmart's volume comes at the lowest margin of any retailer. Growing the online channel, addressing the West region's cost gap, and reviewing Men's Athletic Footwear's margin are the three changes most likely to lift overall profitability without needing higher sales volume.